Negotiating strategy

Skillful negotiation is vital in business when two or more sides have different viewpoints and each party wants to press for their own advantage. The ideal outcome is a compromise that resolves conflict.

How it works

Like many aspects of business, negotiation is a process to find a mutually acceptable solution. Before any discussion, each party must work to understand the other's interests and decide on strategy; otherwise talks can end in stalemate, bad feeling, and loss of business. Being able to negotiate is vital to build strong working relationships, deliver a sustainable, well-considered solution (rather than a short-term fix), and avoid future conflicts.

Reaching agreement

Any strategy, from a wage negotiation between a trade union and employer to a sales negotiation between a customer and a supplier, depends on the relationship between the two parties. Good negotiation should leave each party feeling satisfied with the outcome of the discussion and ready to do business again.

Prepare and plan

- Set objectives and ideal outcome (and assess those of other party).
- Rank and value issues and think of possible concessions.
- Consider ideal agenda and meeting place. Rehearse.

Define ground rules

- Agree on logistics—location, room setup, agenda, schedule, number of negotiators.
- Define etiquette, such as no cell phones, one person speaks at a time, formal breaks.
- Agree on how information is to be presented and recorded.

Propose, clarify, and justify

- Ensure both sides have equal opportunity to put forward their case.
- Clarify any points of disagreement.
- Focus discussion on understanding rather than resolving.

Bargain to solve problems

- Offer alternative proposals and concessions.
- Discuss what is acceptable to each side.
- Aim to find win-win solutions.